

Passage 3:

The Dot-Com Bubble

The period between 1995 and 2000 is called the “Dot-Com Bubble”. During this time, investors were excited about making money with internet technology, which was new. Because of these investments, online commerce companies grew quickly. These companies often had names ending in “.com,” so people called the period the “dot-com boom.” A “boom” is a period of economic growth.

By the year 1995, people could send and receive data through the World Wide Web quickly and easily for the first time in history. People believed the internet would greatly improve business. Many new internet companies were created, and people invested a lot of money in them. Investment in these companies made the *Nasdaq index*, a measure of Wallstreet commerce, become seven times bigger.

However, all this excitement and investment in the internet created a problem. Investors did not always check whether companies made profits or could survive long term. Many investors ignored traditional ways of judging companies, like examining profits or future plans for spending. Over time, the prices of technology stocks rose far above the real value of the companies. In other words, internet companies were borrowing more money than they could create in profits. Economists call this kind of market a “bubble”, because when a bubble gets too big, it will eventually pop!

The economists’ predictions were correct. The bubble popped early in the year 2000. The market began to crash. It started when the U.S. Federal Reserve raised interest rates, and some investors became nervous. The investors quickly sold their stocks in Dot-Com companies. Once prices began to fall, the sell-off became larger as more people tried to get out of the market. Between March 2000 and October 2002, the Nasdaq index fell about 78% from its highest point. Many companies lost all their money and had to close, including well-known dot-com companies like Pets.com, Webvan, and others. The crash damaged confidence in the stock market and contributed to a worldwide economic slowdown.

An AI Bubble?

Today, some economists warn that AI technologies may be another bubble. This is because AI-related stocks and investments have grown very quickly, and AI companies are not making enough profit to pay back the investments. For example, the Bank of England, Goldman Sachs, and the International Monetary Fund (IMF) have all warned that AI companies appear to be over-valued. This situation has many similarities with the Dot-Com Bubble, like rapid price increases and strong concentration of investment in a few large companies. Some analysts have suggested that an AI bubble could be as much as 17 times larger than the Dot-Com Bubble.

The Dot-Com Bubble was a difficult time for economies around the world, and for the development of the tech industry. Today, there are many discussions among economists, policymakers, and industry leaders that a similar AI investment bubble could burst. Because AI investments are so large and deeply embedded in global markets, many people fear that if such a bubble pops, its impact could be greater than the Dot-Com crash.